

CSGP pitch deck

PITCH — CSGP — VERDICT

ADJUDICATED 2026-08-08 — DECLINE. No position, no resting order: the “damage-absent” story is damage-arriving in disguise (net new bookings –26% year over year, organic growth ~8.5%, profit “inflection” = a marketing spend cut off a crushed base) at ~15.5–16.5x forward EV/EBITDA, which is not obviously cheap.

What we believe

CoStar owns a genuinely good data business — commercial real estate information, Apartments.com, LoopNet — with almost no debt and a franchise that is hard to copy. That much survived both sides of the argument.

What we do not believe is the case that was brought to us. The original pitch said: revenue is growing ~18%, profit doubled, guidance went up, so whatever hurt the stock (it is down ~66% from its 52-week high) has already happened and is behind the company. We tested each of those three legs and each one broke:

- **The growth is half bought, not earned.** Management said on the Q2 call that roughly half of this year’s revenue growth is organic — so ~10% year-to-date, not ~20% — and guided the second half to come in about a point and a half below that, i.e. ~8.5%. The Domain acquisition (A\$1.92bn, closed August 2025) sits inside the year-over-year comparison until Q3.
- **The profit jump is a spend cut, not a demand recovery.** Homes.com inside sales headcount went from ~660 to ~400; Ten-X was restructured. Cutting the marketing budget on a money-losing growth bet makes this year’s profit look better and next year’s growth look worse.
- **The forward-looking number is falling hard.** Net new bookings — what the company sells today that becomes revenue later — were \$69M in Q2, down ~26% from a year ago. Full-year 2025 bookings of \$308M barely exceeded 2022’s \$305M, on a revenue base about 1.7x larger. Three years of no growth in the leading indicator.

So: real company, real balance sheet, decelerating engine, and a price that already reflects it. We pass.

What the market believes

Roughly the same thing we concluded, and it got there before we did. CoStar reported a headline-record quarter on 28 July 2026 and the stock fell after hours. Eight sessions later it had not recovered. The market read past “revenue +18%, profit doubled” to the bookings line and sold it.

This is a large, heavily covered company. There is no plausible story where a well-followed mega-cap’s most important disclosed metric falls 26% and nobody notices. When we ask “why would we be right

and everyone else wrong,” the honest answer here is: we probably wouldn’t be.

For reference, the market is currently paying about 15.5x this year’s guided adjusted profit measure (about 16.5x once the pending Zonda acquisition is funded), and roughly 55x reported earnings, for a business growing organically around 8.5% and slowing.

Why we might have edge

Stated fairly, because the case is thin:

1. **The reported growth number is misleading and stays misleading until Q3.** Anyone screening on “revenue +18%” is looking at a number that is roughly half acquisition. That distortion mechanically washes out when Domain laps in Q3 — which is a real, dated event, not a guess.
2. **Some of the bookings decline is self-inflicted, and self-inflicted damage is reversible.** Cutting the Homes.com sales force and restructuring Ten-X *causes* bookings to fall. A managed retreat from a losing bet is a different animal from customers walking away. If the commercial business is intact underneath, the leading indicator is understating the franchise.
3. **The balance sheet is not the problem.** Even after paying \$800M cash for Zonda, we estimate pro-forma net debt of roughly \$400–600M — about half a year’s profit. This company will not be forced to do anything.

That is the whole positive case. Note it is a case for *looking again later*, not for buying now.

Why it might be priced in

- The stock fell on the print and stayed down. The information is public and was acted on.
- Guidance moved the wrong way at the actual Q2 print: the revenue outlook was **lowered** to \$3.715–3.755bn. The company itself told the market growth is slowing.
- 15.5–16.5x forward profit for ~8.5% organic growth is a fair-to-full price, not a distressed one. There is no discount to argue about.
- The 52-week low of \$25.89 implies roughly 14x on the same math — meaning the market has already visited a price that treats the bookings decline as real and permanent. We are above that level, not below it.
- The one piece of evidence that could rescue the case — a commercial-only bookings figure showing the weakness is confined to residential — **is not disclosed**. We cannot run our own decisive test on today’s information. An untestable bull case is not an edge; it is a hope.

What we checked ourselves

Includes the places our own two review benches got things wrong. Where they conflict, the final adjudication wins.

Claim	How checked	Found	Confirmed?
“Revenue +18%” proves the damage is over	Re-read the Q2 earnings call transcript (transcript)	CFO: “approximately half of the revenue growth coming organically” — ~10% year-to-date organic, guided ~1.5pts lower in H2 (~8.5%). Domain (closed Aug-2025) inflates the comparison until Q3	No — true as printed, false as argued
Bookings \$69M were “+3% versus last quarter — the one soft line”	Compared to the year-ago quarter and to the 2022 record (FY22 \$305M ; FY25 \$308M)	–26% year over year; three years of flat bookings on 1.7x the revenue base. The pitch had adopted the company’s quarter-over-quarter framing	No — this line is the thesis, not a footnote
“Guidance was raised \$30M”	Walked guidance print by print (Q4-25 8-K, primary)	Our red bench erred: it attributed the \$30M raise to the Q2 print. The raise happened at the Q1 print. At Q2, profit guidance was merely affirmed and revenue guidance was cut to \$3.715–3.755bn. The error ran against red’s own conclusion — the truth is worse for the bull case than red claimed	No — claim dead, and our bench understated it
Profit doubling is an operating inflection	Traced to the spending line	It is a spend cut: Homes.com inside sales 660→400, Ten-X restructuring (~25% of the revenue guidance change). Margin is real; the demand recovery it implies is not	Partly
“Net cash ~\$266M”	Forward capital-structure check	\$800M all-cash Zonda deal closing H2-2026 (deal report) plus buyback. Our red bench erred on severity: it treated the full \$700M buyback as a future cash call; \$500M was a Q1-2026 accelerated repurchase already executed and already reflected in the \$1,266M Q2 cash balance. Pro-forma net debt ~\$400–600M (~0.5–0.7x profit)	Partly — net cash does go away, but red overstated the consequence; it is a footnote, not a risk
“~14x forward EV/EBITDA”	Recomputed from shares out and guidance	~15.5x at the review-date price; ~16.5x once Zonda is funded; ~55x reported earnings. Adjusted profit also excludes stock compensation	No — the pitch understated the price
Price basis ~\$29.58	Close check	Red used a \$29.59 web-sourced close (06 Aug); the machine pack said \$30.24. Minor bench inconsistency, no effect on any conclusion	Yes, within a penny of the pitch’s premise
Is the sell-off uninformed?	Tape after the 28 Jul print	Stock fell on the print and had not recovered eight-plus sessions later. Large, well-covered company — “the market already knows” is a legitimate argument here, not a lazy one	Confirmed priced
Can we prove weakness is residential-only?	Searched the disclosures	The commercial-vs-residential bookings split is not disclosed. Our red bench listed this as its “what would change my mind” test — the test cannot currently be run. Our blue bench caught that; it is itself a mild negative	Unresolvable today

Claim	How checked	Found	Confirmed?
Is the Q2 bookings drop seasonal?	Our seasonality tool	Not run — neither review sandbox had a shell. Declared as a gap, not skipped	Not checked
How crowded / well-known is this view?	Crowding check	Not run — same reason	Not checked
Live broker price	IBKR	Not obtained — permission not granted in either session; both benches used web/pack prices	Not checked
Detailed stock-comp / cash-flow math from filed data	Machine evidence pack's XBRL series	The pack's XBRL rows are stale — revenue rows stop in 2017 and the comp/cash-flow rows are a Q1-only series ending March 2025. No 2026 quarter was sourced from filed XBRL by either bench ; both leaned on the call and press releases	Not checked

One more thing we owe ourselves plainly: since the 08 Aug decision the stock has risen from ~\$30.24 to \$31.38 (as of the 19 Aug data pull, ~21% above its 52-week low). Declining has cost us about 4% of upside so far. That does not change the reasoning, and we are recording it rather than quietly dropping it.

PROPOSED ENTRY BANDS

There are none. This is a no-entry verdict. No buy, no limit order resting below the market, no starter position, no options. Size today: **0% of the book.**

Neither bench authorized a price at which this becomes a buy, and we are not going to invent one. What reopens the file is *evidence*, not a price.

Reopen gate (verbatim from the adjudication — this is the whole trigger):

Q3 (~late Oct): bookings YoY inflection OR disclosed commercial-only bookings split proving residential containment → re-court

If either of those fires, the case comes back to a fresh review as a much weaker candidate than it was pitched — our red bench's own stated ceiling on a re-file is 5/10 conviction, versus the 8/10 that was claimed. It does not come back as a buy.

Reference arithmetic (NOT armed, NOT an order — supplied only so a future review starts from our numbers, not new ones). Using the benches' own math — ~418M shares, ~\$800M guided profit, ~\$500M pro-forma net debt after Zonda:

Multiple (pro-forma)	Implied share price
17.0x	~\$31.4 (where it trades today)
16.5x	~\$30.4
15x	~\$27.5
14x	~\$25.6 (~ the \$25.89 52-week low)

Multiple (pro-forma)	Implied share price
12X	~\$21.8

Read that table as a warning, not an invitation: the market has already traded down to roughly 14x, so “it got cheap” would not by itself be new information. Any future entry needs the bookings evidence *and* a price, in that order.

Dates that matter: - ~27–28 October 2026 — Q3 results. This is the decision point. The 27 Oct date is derived from a data vendor and is **not yet confirmed by a company announcement**; the Q3 pattern from prior prints (Q2 on 28 Jul 2026, Q4-25 on 3 Feb 2026) supports late October. - **Second half of 2026, exact date unannounced** — Zonda acquisition closes (\$800M, all cash). This is when net cash formally becomes net debt. - **Q3 is also when the Domain acquisition laps**, so reported growth will drop toward the true organic rate on its own.

Exits/trims: not applicable — we hold nothing.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- filing watch: 8-K until 2027-02-14 (deck-provisional: Zonda \$800M all-cash close (H2-2026) settles the pro-forma net-debt question both benches could only e)
- dated pack CSGP|2026-10-28: CSGP Q3: HIT = net new bookings YoY positive OR commercial-only split disclosed intact. RESOLVE: python3 -m desk.calibration resolve CSGP FA
- dated pack CSGP|2026-10-27: CSGP: Q3 2026 results - reopen gate: bookings YoY inflection OR disclosed commercial-only split proving residential containment (date confir

What remains unverified

Stated plainly, because several of these are load-bearing:

1. **Whether the bookings collapse is seasonal, trend, or self-inflicted in what proportion.** The seasonality tool never ran. Our best read — mostly trend with a real managed-retreat component — is a judgment, not a measurement.
2. **Whether the commercial business is holding up while residential shrinks.** Not disclosed. This is the crux of any bull case and we cannot test it.
3. **How Zonda is funded** (cash on hand versus new borrowing), and therefore the exact pro-forma balance sheet. Our \$400–600M net debt estimate is an inference.
4. **Current-period stock compensation, diluted share count, and operating cash flow from the filed statements.** The evidence pack’s structured data ended in early 2025 for those series; both benches worked from the call and press releases instead.
5. **How consensus/crowded this bearish read already is.** The crowding check never ran, so “the market already knows” is supported by the tape but not measured.

6. **A live broker quote.** Both reviews used web and vendor prices (\$29.59 / \$30.24 / \$31.38 across three dates).

7. **A minor unresolved data conflict:** the evidence pack lists a 52-week high of \$91.89 while our red bench found \$97.12. Different sources or intraday-versus-close basis, most likely. Nothing in the verdict turns on it, but the discrepancy is unexplained.

8. **Post-decision price drift.** The stock is up ~4% since adjudication. We have not re-run the case at \$31.38; the reopen gate is evidence-driven and October is still the decision point.

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